

Grade 3 Financial Literacy

Compound Interest: Money Growing Over Time



What Would You Do With Extra Money?

Imagine Your Money Growing!



What Is Saving?

Saving means keeping some money safe to use later.



Keep your money
safe for later!



Keep your money
safe for later!



Use it when you
really need it!

What Is Interest?

A Reward for Saving!

Interest is
money you
earn when
you save.



Save ₹100, the
bank gives
you extra
money as a
thank you!

Compound Interest

Watch Your Money Grow!

You earn
interest on
your interest!

Money grows
bigger and
bigger over
time!



Watch Your Money Grow!



Year 1

Year 2

Year 3

₹100 → **₹110** → **₹121**

The longer you save, the more it grows!

Why Does Money Grow?

1

You save money

2

Bank gives you
interest

3

Interest earns
more interest



How Does Compound Interest Work?



A Story About Saving

Meet Priya!



Year 1: Priya saves
₹100



Year 2: She has ₹110



Year 3: She has ₹121!

Simple Interest vs Compound Interest

Understanding the Difference

Simple Interest

Interest only on original money

Save ₹100, earn ₹10 every year

VS

Compound Interest

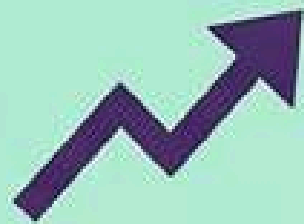
Interest on money + interest earned!

Save ₹100, earn MORE each year!



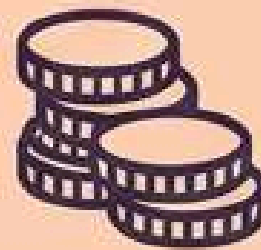
Benefits of Compound Interest

Why Saving Early Helps!



Benefit 01

Your money grows faster



Benefit 02

Save less, get more!



Benefit 03

Start early for bigger rewards



When Should You Start Saving?

The Best Time to Begin!



Age 6

Start saving
small amounts



Age 10

Watch your
money grow



Age 18

You could have
a LOT saved!



Question

Hint: Interest earns more interest!

Challenge

Take a moment to guess the answer!

Let's Think!

A Fun Money Puzzle

If you save 100 rupees today, what will happen after 2 years with compound interest?

Think carefully! Will your money stay the same, grow a little, or grow even more with compound interest?



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What Did We Learn?

Let's Recap!

Today we discovered how saving money helps it grow, and how compound interest makes your savings grow even faster!



Remember 01

Saving money is important for your future

Remember 02

Interest helps your money grow bigger

Remember 03

Start saving early and watch it grow!



How Can You Start Saving?

Easy Steps to Begin!

Starting to save is easy and fun! Ask your parents to help you open a savings account at a bank. You can begin your savings journey today!



Step 01

Save coins regularly in your piggy bank

Step 02

Keep track of how your savings grow

Step 03

Tell your friends what you learned!



Thank you for
learning about
compound interest!

Any Questions?

Thank You!

Start Saving Today!

Compound Interest

Financial Literacy
**Money Growing Over
Time**

